

UAE Labour Law — Key Articles Reference Guide

For use as RAG corpus in AI legal-aid agent. Source: Federal Decree-Law No. 33 of 2021 (as amended by FDL 20/2023 and FDL 9/2024). All articles refer to private-sector mainland UAE employment.

1. Wage Payment Obligations

Article 17 — Timely Payment of Wages

Wages must be paid on the agreed date stated in the employment contract. Under Ministerial Resolution No. 340 of 2026, wages for any preceding Gregorian calendar month must be disbursed through the Wage Protection System (WPS) no later than the first day of the subsequent Gregorian month. Any payment transferred after the first of the month is classified as a statutory delay, triggering the automated WPS penalty escalation ladder.

Key rights derived from this article:

- A worker whose wages are delayed beyond the deadline is entitled to file a complaint with MOHRE immediately — no waiting period is required.
- If wages are delayed by more than 60 days, the worker is entitled to terminate the contract and claim all end-of-service entitlements as if the employer had terminated the contract.
- The employer bears the burden of proof that wages were paid on time (via WPS records).

Article 25 — Lawful Wage Deductions

An employer may only deduct from a worker's wages in the following lawfully permitted circumstances:

Deduction Type	Conditions / Limit
Loan repayment to employer	Max 10% of monthly wage per installment; worker must have consented in writing
Recovery of property damage caused by worker	Must be proven; max 5 days' wage per month unless court orders otherwise
Absence without authorisation	Deduction proportional to actual days/hours absent; no fine in addition
Fines for workplace violations	Must be listed in approved disciplinary schedule; max 5 days' wage per month
Court-ordered amounts	As directed by a competent court (e.g., maintenance orders)
Social insurance / pension contributions	As required by applicable scheme

Any deduction not listed above is unlawful. The total of all deductions in a single month must not exceed 50% of the worker's wage, except by court order.

2. Working Hours, Overtime and Rest

Article 17 (Hours) and Cabinet Resolution No. 1 of 2022 — Standard Working Hours

Standard working hours for private-sector employees:

Category	Daily Limit	Weekly Limit
Standard (non-Ramadan)	8 hours	48 hours
Ramadan (Muslim employees)	6 hours	36 hours
Managerial / supervisory roles*	9 hours (no OT pay triggered)	Up to 54 hours

* Managers, supervisors, and equivalent roles as defined by the employer and approved by MOHRE may work longer hours without triggering statutory overtime pay — but cannot be compelled to work continuously without rest.

Overtime Rules

- Overtime beyond the 8-hour standard day is paid at a minimum of 125% of the worker's basic hourly rate.
- Overtime worked between 10 PM and 4 AM (night overtime) is paid at a minimum of 150% of the basic hourly rate.
- Work on a designated weekly rest day (Friday for most; Saturday/Sunday for some) is paid at 150% if the worker cannot be given a substitute rest day.
- An employer cannot require a worker to work more than 2 hours overtime per day without the worker's written consent.
- Total daily working time including overtime must not exceed 12 hours.

Weekly Rest Entitlement

Every worker is entitled to a minimum of one continuous 24-hour rest period per week. The standard rest day is Friday, but the employer may designate a different day with MOHRE notification. If a worker is required to work on their rest day, they must receive either a substitute rest day within the same pay cycle or a payment of 150% of their daily wage.

3. Annual Leave

Article 29 — Annual Leave Entitlement

Service Duration	Annual Leave Entitlement
Less than 1 year (probation completed)	Pro-rated: 2 calendar days per completed month
1 year to less than 5 years	Minimum 30 calendar days per year
5 years or more	Minimum 30 calendar days per year (unchanged, but some contracts grant more)

- Annual leave is paid at full wage (basic wage + regular allowances as stipulated in the contract).
- A worker is entitled to purchase (encash) unused annual leave at the end of service or upon termination. The employer cannot forfeit accrued leave.
- The employer sets the leave schedule but must give reasonable notice. A worker may not be compelled to use leave to cover sick days or public holidays.
- Annual leave begins accruing from the first day of employment; entitlement matures after completion of the qualifying period.
- Public holidays (listed in Cabinet decisions each year) do not count against annual leave days.

Sick Leave Entitlement (Article 31)

Sick Leave Period	Pay Rate
First 15 days of sick leave per year	Full pay (100%)
Next 30 days (days 16-45)	Half pay (50%)
Beyond 45 days in same year	Unpaid; employer may terminate after 90 consecutive days

Sick leave requires a medical certificate from a licensed healthcare provider. An employer cannot terminate a worker while on certified sick leave of 45 days or less.

Maternity Leave (Article 30)

- Female workers are entitled to 60 calendar days of maternity leave: the first 45 days at full pay, the following 15 days at half pay.
- An additional 45 days of unpaid leave may be taken for illness arising from pregnancy or childbirth (medical certificate required).

- An employer may not terminate a female worker's contract due to pregnancy, childbirth, or maternity leave. Doing so is an unlawful dismissal.
- After returning from maternity leave, the worker is entitled to two nursing breaks of 30 minutes each per day for up to 6 months.

4. Termination of Employment

Articles 42-43 — Lawful Termination by Employer

An employer may lawfully terminate a fixed-term employment contract in the following circumstances:

- Expiry of the contract term (with notice as stipulated or 30 days minimum, whichever is longer).
- Mutual written agreement between employer and worker.
- Termination with notice as per the contract — minimum notice periods below apply.
- Summary dismissal under Article 44 (specific serious misconduct grounds only — see below).

Minimum Notice Periods (Article 43)

Service Duration	Minimum Notice Period
Less than 6 months	1 month
6 months to less than 1 year	1 month
1 year to less than 3 years	1 month
3 years to less than 5 years	2 months
5 years or more	3 months

During the notice period, the worker continues to receive full wages and benefits. An employer may pay wages in lieu of notice (payment equivalent to wages for the notice period) instead of requiring the worker to serve the period.

Article 44 — Summary Dismissal (Termination Without Notice or Gratuity)

An employer may dismiss a worker without notice and without paying end-of-service gratuity ONLY in the following specific circumstances:

- The worker assumes a false identity or submits forged documents at time of hiring.
- The worker commits an error causing substantial financial loss to the employer (must be reported to MOHRE within 5 business days of the employer becoming aware).
- The worker violates safety instructions after receiving written warnings — resulting in danger to the workplace.
- The worker discloses confidential business information causing material harm to the employer.
- The worker is found in a state of intoxication or under influence of narcotics during working hours.
- The worker commits an assault (physical or verbal) against the employer, a manager, a colleague, or a client during working hours.
- The worker is convicted of a crime involving moral turpitude or dishonesty by a competent court.
- The worker is absent without authorisation or legitimate reason for more than 20 non-consecutive days in one year, or 7 consecutive days.

CRITICAL: Grounds for summary dismissal are exhaustive — the employer may not add additional grounds by contract. A dismissal on any ground not listed above is automatically classified as arbitrary (unlawful) dismissal.

Article 47 — Arbitrary (Unlawful) Dismissal

- If an employer terminates a worker's contract arbitrarily — meaning for reasons unrelated to the worker's performance or conduct, or on grounds not permitted by Article 44 — the dismissal is unlawful.

- The worker is entitled to compensation of up to 3 months' wages in addition to all other end-of-service entitlements.
- The amount is determined by MOHRE or the Labour Court based on the nature of the dismissal, the worker's service duration, and the extent of harm.
- Retaliatory dismissal — terminating a worker for filing a complaint with MOHRE or reporting a legal violation — is explicitly classified as arbitrary dismissal.

Anti-Retaliation Protection (Articles 47 and 63)

UAE labour law explicitly prohibits employer retaliation against workers who exercise their legal rights. The following employer actions constitute unlawful retaliation:

- Terminating a worker for filing a complaint with MOHRE or the Labour Court.
- Reducing wages, changing work location, or materially altering terms of employment after a worker files a complaint.
- Threatening, intimidating, or coercing a worker to withdraw a complaint.
- Reporting a worker as 'absconding' to MOHRE fraudulently after the worker files a legitimate complaint.
- Refusing to provide the worker with an experience letter (work certificate) upon termination as retaliation.

If a worker suspects retaliatory action, they should document the timeline and immediately report the retaliation to MOHRE as a separate complaint. Retaliatory termination entitles the worker to the same compensation as arbitrary dismissal.

5. End-of-Service Gratuity Quick Reference (Article 51)

The following table summarises when gratuity is and is not payable:

Scenario	Gratuity Payable?	Notes
Employer terminates (any reason except Article 44)	Yes — full entitlement	Based on basic wage only
Employer terminates under Article 44 (summary dismissal)	No	Worker may challenge in court
Worker resigns after 1+ years service	Yes — full entitlement	Same formula as employer termination
Worker resigns during probation	No	Less than 1 year completed
Contract expires and is not renewed	Yes — full entitlement	Treated as employer termination
Mutual agreement termination	Yes — negotiated amount	Must be at least statutory minimum
Worker dismissed for absconding (Article 44, 2065) or falsified documents	No — must be challenged	Worker should contest if falsely reported

This document is a reference guide for an AI legal-aid system. It is not legal advice. All figures and rules should be verified against current official UAE legislation at uaelegislation.gov.ae. Last updated June 2026.